

BYBLOS BANK SYRIA S.A.

MANAGEMENT LETTER POINTS

17 May 2017

Ernst & Young

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To the Board of Directors

BYBLOS BANK SYRIA S.A.

Dear Sirs,

In connection with our audit of the financial statements of BYBLOS BANK SYRIA S.A. for the year ended 31 December 2016 and as is our normal practice, we are now reporting to you certain matters which came to our attention during the course of the review and audit. This report is a distinct and separate document from our audit opinion and its contents do not affect, in any material way, the opinion issued, on your financial statements.

Our review of the Bank's system of internal control is carried out to assist us in expressing an opinion on the financial statements of the Bank as a whole. This work is not primarily directed toward the discovery of weaknesses or the detection of fraud and should not, therefore; be relied upon to show that no other weaknesses exist. Accordingly, our audit work would not necessarily allow us to identify all possible improvements that a more exhaustive systems review might develop.

We have discussed the content of our report, including our recommendations, with the members of your staff directly involved and where relevant we have incorporated their comments.

This communication is intended solely for the information and use of management and the Board of Directors of BYBLOS BANK SYRIA S.A. and is not to be and should not be used by anyone other than those specified parties.

If you wish to discuss these matters in greater detail or would like more information please do not hesitate to contact us.

Yours faithfully,

Husrieh & Associates Ernst & Young

Husrieh & Associates Ernst & Young

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(L.L.C)

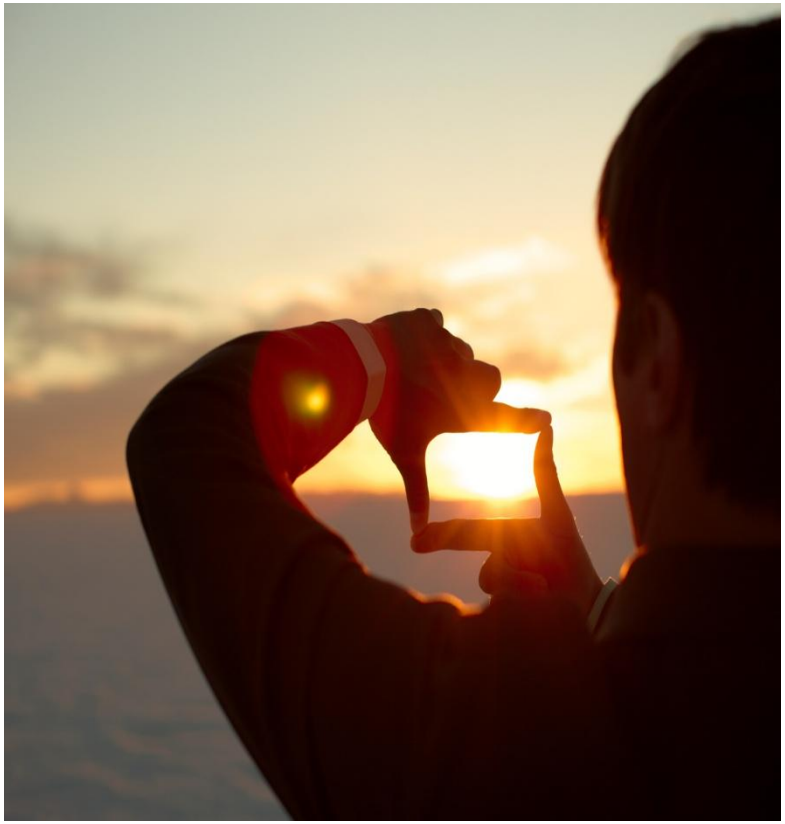
17 May 2017

Damascus – Syrian Arab Republic

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Contents

No.		Slide
1	OPERATIONS & TREASURY	4
2	CREDIT	9
3	FINANCE & ACCOUNTING	19
4	INFORMATION SYSTEMS	25



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1

OPERATIONS AND TREASURY

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Management Letter Points

1.1 Wrong Classification Of Current Accounts

Observation

During our review, we noticed that some accounts were classified as cash margin instead of current accounts.

Examples:

Customer ID	Customer name	Amount
261986	FA0 representative	1,707,911,799

Implication: This could result to an inaccurate disclosure in the financial statements and capital adequacy calculation.

Recommendation

We strongly recommend proper classification for all accounts specifically, for current accounts.

Management Response

This issue has been solved and we will make sure to follow the recommendation.

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Management Letter Points

1.2 Misappropriation of Bank Checks

Observation

During our audit, we noticed that some checks did not exist in the Bank's archive.

Check ID	Amount
196	16,000,000

Implication: There is no support for banker check balances.

Recommendation

We strongly recommend that the bank implement an archiving system.

Management Response

The check copy was found in the transfer payment unit archiving. We will take this point into consideration for the future.

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Management Letter Points

1.3 Excess Concentration With The Parent Bank

Observation

During our review, we noticed that Bank had excess concentration with the Parent Bank. According to regulation No. 751 of the monetary and credit council, the concentration with the Parent Bank should not be more than 100% of the core capital. As of October, there was an excess of 5% of the specified limit.

Implication: The Regulator may impose penalties on the Bank.

Recommendation

We strongly recommend that the Bank comply with the regulations of the monetary and credit council.

Management Response

Management is monitoring the excess concentration with Byblos Bank Lebanon on a monthly basis.
We send a letter to the CBOS whenever we have an excess concentration. We remove the excess concentration within one month (which is the regulatory period).

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Management Letter Points

1.4 Missing Signature On Deal Slip

Observation

During our audit, we noticed that some treasury deal slips were not signed by the back office employee as a reviewer.

Deal ref.	Counter party	Amount Bought
FX-16238-00001	Byblos Bank Lebanon	36,500,000

Implication: The review process is an important control to prevent errors in transactions.

Recommendation

All transaction data should be reviewed before being recorded into the system.

Management Response

Before being authorized in the system, the back office employee confirms through a recorded phone call or via e-mail with the counterparty to ensure that the deal which was booked by the front office treasury is correct.
We will make sure the authorizer will always sign the deal slip as well.

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2

CREDIT

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Management Letter Points

2.1 Improper Segment Classification

Observation

During our review, we noted that some debtor accounts were improperly classified as corporate. However, these accounts should have been classified as retail.
For example:

Customer ID	Customer Name	Amount
158280	Alazzam Nour	20,557
158167	Antoine Sakkal	467

Implication:

Risk of improper presentation of credit facilities in the financial statements.

Credit facilities are not classified in line with regulations of the Central Bank.

Recommendation

We strongly recommend that the classification of Customer's portfolio is done based on Central Bank regulations and instructions.

Management Response

These are exceptional loans granted to staff. They were closed by year-end and we will not have similar issues in 2017.

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Management Letter Points

2.2 Overloaded Credit Files

Observation

During our review, we noticed that several credit files were overloaded and bulky.

For example:

Customer ID	Customer Name
200005	SHAREKET DEBANEH

Implication: This makes it more difficult to review such files.

Recommendation

The department should reconsider its filing system ensuring that no unnecessary or extra copies are kept in the files and keeping the files more organized and manageable.

Management Response

We will make sure to follow the recommendation.

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Management Letter Points

2.3 Wrong Classification Based On Credit Application Renewal Past Due Date

Observation

During our review, we noticed that clients have CA not renewed for more than 90 days. According to the 902 of the monetary and credit council, the client should be classified as watch.
For example:

Customer ID	Customer Name	Class according to the Byblos bank	Class according to 902
300605	Majed takla	Normal	Watch

Implication: Inaccurate grading will lead to a misleading provision amount and departure from the 902 of the monetary and credit council.

Recommendation

We strongly recommend that all reasons for classification in the 902 of the monetary and credit council be considered.

Management Response

We will follow the mentioned recommendation.

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Management Letter Points

2.4 Improper Classification Between Categories Of Credit Facilities

Observation

During our review, we noticed that some clients credit facilities have been inaccurately classified. For example:

Account ID	Customer Name	Type per 902 file	Correct type
2000211575008	ALSHERKEH ALWATANI	Loan	Overdraft

Implication: Inaccurate classification will lead to misleading amounts of credit facilities type in the financial statements.

Recommendation

We strongly recommend that all type of credit facilities are properly classified in the financial statements.

Management Response

We will follow the mentioned recommendation.

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Management Letter Points

2.5 Inaccurate Real Estate Guarantees Evaluation File

Observation

During our audit, we noticed that some real estate guarantees were evaluated by two assessors. However, according to the real estate guarantees file extracted from the system, only one assessor's name was included.
For example:

Customer ID	Customer Name	Amount
358655	SHAABAN MOUTAZ.	104,400,000

Implication: This can lead to an inaccurate provision calculation. According to the 902 of the monetary and credit council, the client who is granted credit facilities amounting to SP 25 million or more should have the related real estate guarantee evaluated by two assessors to be considered acceptable.

Recommendation

The appraisal report should be updated and recorded accurately in the system.

Management Response

We will make sure to follow the recommendation.

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Management Letter Points

2.6 Mismatch Between Credit Application Maturity Report And Credit Application Actual Status

Observation

During our review, we noticed that there is a difference between the credit application maturity report and the actual status of the credit application.
For example:

Customer ID	Customer Name	CA maturity according to the report	Actual CA maturity
204997	Sharikat almajzoub	12/31/2016	9/30/2016

Implication: Inaccurate maturity date will lead to wrong classification based on the Credit application maturity past due days.

Recommendation

All new credit applications should be updated into the system and archived on a timely basis.

Management Response

The mentioned point resulted from a typing mistake. Starting 2017, a new policy was adopted to avoid such errors.

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Management Letter Points

2.7 Credit Files Are Not Updated With The Latest Customer Documents

Observation

During our test of controls, we noted that some files (hard copy) do not contain the most up to date customer documents such as:
Credit Application
Examples:

Customer ID	Customer Name	Data not available in credit file
200488	SHARIKAT DAOUD	No updated Credit application

Implication: Wrong Class may be given to those Customers due to missing documentation.

Recommendation

We recommend that the Bank actively update the credit files of the customers to contain the latest documents to reflect the current status of the customer.

Management Response

It is available, however, sometimes there are delays in filing credit applications in the credit files. We will make sure to follow the mentioned recommendation.

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Management Letter Points

2.8 Improper Structure Of Commercial Study

Observation

During our review, we noticed in the commercial study file that some cells of oldest maturity are empty.
For example:

Customer ID	Customer Name	Oldest Maturity
200089	Madar CC	

Implication: Improper classification will immediately affect the loan loss provision, and the 902 report which will cause compliance issues with the regulator.

Recommendation

We strongly recommend that the commercial study cover all aspects of the 902 resolution. Also, we recommend a review process be implemented for the classification in the credit portfolio by a senior person.

Management Response

During 2017, the commercial study structure has been updated to be more appropriate.

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Management Letter Points

2.9 Improper Classification Of Credit Loss Provision

Observation

During our review, we noticed that the Bank classified a client as "Bad" based on management's decision only.

For example:

Customer ID	Customer Name	CLS	CLS for other reasons
216500	Al Sharif Trading Co.	Normal	Bad

Implication: Improper classification will immediately affect the loan loss provision and 902 report and will cause compliance issues with the central bank.

Recommendation

We strongly recommend that all classification be in accordance with the 902 of the monetary and credit council. Management's assumptions should be considered in the calculation of the stress test.

Management Response

The mentioned issue was solved. We will make sure to follow the recommendation in the future.

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3

FINANCE AND ACCOUNTING

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Management Letter Points

3.1 Wrong Calculation For Real Estate Guarantees

Observation

During our audit, we noticed that some real estate guarantees used in the provision calculation were evaluated by one assessor for client's granted more than SP 25 million credit facilities. However, according to the 902 of the monetary and credit council, these guarantees should be evaluated by two assessors to considered acceptable.

Customer ID	Customer Name
200488	SHARIKAT DAOUD

Implication: Improper calculation of real estate guarantees will affect the Bank's provision calculation.

Recommendation

The Bank should comply with the 902 of the monetary and credit council regarding the calculation of real estate guarantees.

Management Response

The mentioned guarantee was removed from the 902 report. We will follow the mentioned recommendation in similar cases.

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Management Letter Points

3.2 Mismatch Between Trial Balance And Financial Statements Disclosure Level

Observation

There was a mismatch between the trial balance and financial statements disclosure level.

Example:

Account No. SYBS.3570 PREPAID EXPENSES contains both Prepayments for branches and offices rent and other prepayments.

Implication: Manual adjusting entries are required to match between the trial balance and financial statement disclosure level.

Recommendation

Proper grouping in the trial balance is an important factor to present the financial statements. Therefore, it is important to establish a trial balance in a manner to reflect the financial statements.

Management Response

We are working to have the trial balance automated. However, there are some accounts that were segregated after extracting the trial balance and in the process of preparing the financial statements. We will consider the comment and coordinate with IT to solve the issue.

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Management Letter Points

3.3 Improper Classification Of Credit Loss Provision Account

Observation

During our review of provisions, we noticed that there is a wrong classification in the following account:

For example:

SYBS.7105- PROV. COMMERCIAL OBS classified as loans and advanced to customer instead of miscellaneous provision.

Implication: Wrong classification may lead to improper presentation in the financial statements.

Recommendation

Proper classification in the trial balance is an important factor to present the financial statements. Therefore, it is important to establish a trial balance in a manner that properly reflects the balances in the financial statements.

Management Response

We will make sure to follow the recommendation.

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Management Letter Points

3.4 Mismatch Between Actual Guarantees And Disclosed Guarantees

Observation

During our review, we noticed that there is a guarantee in the system that is not disclosed in the financial statements and the 902 report.

For example:

Customer ID	Customer Name	Guarantee Type	Amount
209122	SHAREKAT KNAMA	Personal guarantee	720,000,000
203040	SHAREKAT ITISALAT	Bank guarantee	97,500,000

Implication: Inaccurate provision calculation, financial statement disclosure and 902 report.

Recommendation

We strongly recommend that actual guarantees match disclosed guarantees in the financial statements and the 902 report.

Management Response

Issue was solved as of Q4 2016 after guarantees were cleared in the system. Accordingly, we started to take the personal and bank guarantees amounts from the system. However, there was no effect on the net exposure or provision amount.

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Management Letter Points

3.5 Mismatch Between Raw Data and General Ledger of Fixed Asset Register

Observation

During our audit, we noticed that there is a difference between raw data and general ledger of accumulated depreciation for some categories of fixed assets.

For example

Categories	Amount per raw data	Amount Per general ledger
Vehicles	**19,415,394**	**16,534,910**

Implication: Wrong calculation for deprecation may effect net income and other financial statement disclosures.

Recommendation

We strongly recommend to accurately calculate depreciation.

Management Response

We had some vehicles not calculated in the fixed asset application (Trilog) since 2011 due to the difference in entry date and acquisition date. As such, we had to calculate it manually.
The bank system (Globus) is correct and we will update the fixed assets application (Trilog) in order to match.

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4

INFORMATION SYSTEMS

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Management Letter Points

4.1 Lack Of Segregation Of Duties At Bonus Schedule

Observation

We noted a lack of segregation of duties in the preparation of the bonus schedule. Only one person generates, prepares, and sends the payroll schedule to Byblos Lebanon S.A.L. in order to be posted.

Implication: There is a high potential for fraud or error to occur that can remain undetected.

Recommendation

We recommend that management carry out an independent review.

Management Response

We will make sure to follow the recommendation.

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Management Letter Points

4.2 No Authentication Process Over The Payroll Program

Observation

During our year end audit, we noticed that the payroll system has no authentication process. The HR officer can enter a leave and delete it.

Implication: This may lead to human error regarding salaries, mathematical accuracy, and number of vacation days.

Recommendation

We recommend that management carry out an independent review.

Management Response

We will make sure to follow the recommendation.

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